



FHA 203(h) - Disaster Victims Mortgage

PRIMARY RESIDENCE – PURCHASE				
Property Type	Maximum LTV	Maximum Loan Amount	Minimum Credit Score ²	Underwriting Engine & Required Response
1-Unit PUD Condo	100% ¹	Varies by County	580	FHA Total Mortgage Scorecard DU – <i>Approve</i> or LPA – <i>Accept</i> <i>Refer</i> responses will be manually underwritten

1. The total LTV can exceed 100% when financing the upfront mortgage insurance premium (UFMIP).
2. Refer to Credit Scores section for borrowers with no score.

PROGRAM SUMMARY

The FHA 203(h) program is a special mortgage insurance program to assist disaster victims whose previous residence has been destroyed or damaged to such an extent that replacement is necessary.

PRODUCTS OFFERED

FIXED-RATE MORTGAGES

Traditional and jumbo loan amounts are separated into distinct products:

- 10-year
- 15-year
- 20-year
- 25-year
- 30-year

ADJUSTABLE-RATE MORTGAGES

Traditional and jumbo loan amounts are combined into the same product:

- 5/1 CMT

ELIGIBLE BORROWERS

- U. S. citizens and permanent resident aliens
- Non-permanent resident aliens may qualify (refer to HUD Handbook 4000.1)
- Non-occupant co-borrowers

ELIGIBLE PROPERTY TYPES

- 1-unit
- PUD
- Condominium (prior approval by FHA Field Office is required)

INELIGIBLE PROPERTY TYPES

- Manufactured home
- Cooperative
- Working farm, ranch or orchard



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LOAN AMOUNTS

MINIMUM LOAN AMOUNT

None

MAXIMUM LOAN AMOUNT

Maximum loan amount varies by county. Refer to the [FHA Connection](#) website to determine the geographic mortgage limits.

SELLER CONTRIBUTIONS

6% maximum seller contributions

TEMPORARY BUYDOWNS

Not eligible

SUBORDINATE FINANCING

Refer to the *Secondary Financing* section of our [FHA Underwriting Guidelines](#) for details.

CREDIT ALERT INTERACTIVE VOICE RESPONSE SYSTEM (CAIVRS)

All borrowers must be screened using the Credit Alert Interactive Voice Response System (CAIVRS). FHA will not insure a loan if the borrower is currently delinquent on any unpaid federal debt, or has had a claim paid within the previous three years. Prior to accessing CAIVRS you will need each applicant's Social Security Number. CAIVRS must be accessed through [FHA Connection](#). This is a web-based system that requires prior approval through HUD.

QUALIFYING RATE

Note Rate

QUALIFYING RATIOS

Refer to the Ratios section of our [FHA Underwriting Guidelines](#).

SUBMISSION DOCUMENTATION

Refer to the *Government Submission Review Checklist*, [Doc. #3205](#) for details.

FORMS AND DISCLOSURES

Refer to *Government Forms and Disclosures*, [Doc. #9005](#) for details.

APPRAISAL GUIDELINES

The appraisal must comply with all of FHA's minimum property standards. Refer to the *Appraisal* section of our [FHA Underwriting Guidelines](#).

UNDERWRITING

For underwriting questions and underwriting support please contact Government Customer Support by calling (866) 945-9872 or via email at governmentuw@flagstar.com.

All loan applications will be underwritten to FHA's Total Mortgage Scorecard and Flagstar current guidelines. Refer to HUD Handbook 4000.1 and Flagstar's [FHA Underwriting Guidelines](#) for Government Guidelines.



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The borrower must provide conclusive evidence that their previous residence was located in a disaster area and was destroyed or damaged to such an extent that replacement is necessary. Documentation showing a permanent residence in the affected area before the disaster includes a valid driver's license, a voter registration card, utility bills, etc. Documentation regarding destruction of the residence may include an insurance report, an inspection report by an independent fee inspector or government agency or conclusive photographic evidence showing the destruction or damage. The borrower may have been the owner or a renter of the property affected.

The borrower's application for mortgage insurance must be submitted to the lender within one year of the President's declaration of the disaster.

CREDIT SCORES

- Non-traditional, alternative credit and no credit score loans are now eligible and will follow the [FHA Handbook 4000.1](#)
- Loans for borrowers with non-traditional credit are permissible; a credit score of 999 should be entered for those borrowers. **Refer to the Credit History section of the *FHA Underwriting Guidelines*.**

ADP CODES

- 703 – 203(h) Fixed Rate
- 729 – 203(h) ARM

MORTGAGE INSURANCE PREMIUM (MIP)

Upfront and monthly mortgage insurance premiums will be calculated according to the policies outlined in HUD Handbook 4000.1. The total LTV can exceed 100% when financing the upfront mortgage insurance premium (UFMIP).

ADJUSTABLE-RATE DETAILS

Interest Rate Adjustment Caps	Initial: 1% up/down; Periodic: 1% up/down; Lifetime: 5% up
Margin	See Price Indication Sheet
Index	1-Year Constant Maturity Treasury (CMT)
Interest Rate Floor	The interest rate floor is equal to the Margin
Change Dates	5/1 ARM: Initial interest rate change date will occur within 60 to 66 months, depending on the first payment date. See table below. Interest rate will adjust every 12 months thereafter.
Conversion Option	None
Assumption	Subject to conditions, fees and rate adjustment
Negative Amortization	None



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Initial Interest Rate Change Dates ³	
First Payment Date	Initial Change Date ⁴
Jan. 1, Feb. 1, Mar. 1	April 1
Apr. 1, May 1, Jun. 1	July 1
Jul. 1, Aug. 1, Sep. 1	October 1
Oct. 1, Nov. 1, Dec. 1	January 1

3. The initial interest rate change dates are also published on the daily price indication sheet.

4. The change date is always the first day of the month.

STATE ELIGIBILITY

Available throughout the United States in areas declared as disaster areas by the President. Refer to Federal Emergency Management Agency Web site for a complete listing of declared disaster areas:

<http://www.fema.gov>.

Available in the following states with restrictions. States not listed are available without restrictions.

State	Restriction
Minnesota	Any loan receiving a DU verbal only response will still require full income & asset documentation
Puerto Rico	Not eligible

CLOSING DOCUMENTATION

Closing documents may be ordered through Flagstar's Web-Based Closing Docs (WBCD) service available on the system. Please call (866) 945-9872 for questions pertaining to drawing Web-Based Closing Docs.